

DEFINING A GOOD DEAL

It's important not to form your opinions about the market based on active listings. Good deals don't last long in a seller's market, so when you look at properties currently for sale, you're looking at the deals that are either brand-new or have been sitting on the market for a couple of weeks.

Suppose there are ten identical properties that meet the above buyer's criteria, and they'll be listed at the following prices over the next six months:

- \$375,000
- \$380,000
- \$385,000
- \$390,000
- \$395,000
- \$400,000
- \$405,000
- \$410,000
- \$415,000
- \$420,000

Now, suppose that over the next six months, six of them sell. If the buyer looks at the market at the end of the six months, what would they see offered for sale at that point in time?

- \$405,000
- \$410,000
- \$415,000
- \$420,000

This is what happens when pulling up listing sites for the first time—you see the active listings. The buyer might go for a \$400,000 house thinking it's a total steal, only to find out that they're paying \$25,000 more than what *would* have been a great deal if they had done their research.

However, if we instead look at all the listings over the last 180 days, including sold houses, a new story emerges. We can observe and analyze the following:

- \$375,000—such a good price that it was sold off-market